

1. Theory of Interest

Accumulation Functions

Simple: $a(t) = 1 + rt$ **Compound:** $a(t) = (1 + r)^t$ [default]

Continuous: $a(t) = e^{\delta t}$

Accumulated value of principal P : $A(t) = P \cdot a(t)$

Frequency of Compounding

Nominal rate $r^{(p)}$ paid p times/yr:

$$a(t) = \left(1 + \frac{r^{(p)}}{p}\right)^{pt}$$

Effective annual rate:

$$r_e = \left(1 + \frac{r^{(p)}}{p}\right)^p - 1$$

Equivalence of two nominal rates:

$$\left(1 + \frac{r^{(p)}}{p}\right)^p = \left(1 + \frac{R^{(q)}}{q}\right)^q$$

$r_e > r^{(p)}$ for any $p > 1$. Continuous compounding maximises r_e for a given nominal rate.

Force of Interest

$$\delta(t) = \frac{a'(t)}{a(t)} = \frac{d}{dt} \ln a(t)$$

- Constant δ : $a(t) = e^{\delta t}$, so $\delta = \ln(1 + r_e)$
- Convert: $1 + r_e = e^{\delta} \Rightarrow r_e = e^{\delta} - 1$

Key Conversions (quick ref)

Convert	Formula
$r^{(p)} \rightarrow r_e$	$(1 + r^{(p)}/p)^p - 1$
$r_e \rightarrow r^{(p)}$	$p[(1 + r_e)^{1/p} - 1]$
$r_e \rightarrow \delta$	$\ln(1 + r_e)$
$\delta \rightarrow r_e$	$e^{\delta} - 1$
$r^{(p)} \rightarrow r^{(q)}$	equate $(1 + r^{(p)}/p)^p = (1 + r^{(q)}/q)^q$

2. Present Value & Cash Flows

Present Value (single payment)

$$PV = \frac{c}{a(t)} = \frac{c}{(1 + r)^t}$$

Discount factor: $v = \frac{1}{1+r}$, so $PV = c \cdot v^t$

PV of Cash Flow Stream

$C = \{(c_i, t_i)\}_{i=1}^n$:

$$PV(C) = \sum_{i=1}^n \frac{c_i}{(1 + r)^{t_i}}$$

Time value at t : $TV_t(C) = PV(C) \cdot (1 + r)^t$

Annuities

Let r = effective rate per period, A = payment per period, n = number of periods.

Ordinary annuity (payment at *end* of each period):

$$PV = \frac{A}{r} \left[1 - \frac{1}{(1 + r)^n}\right]$$

Annuity-due (payment at *start* of each period):

$$PV = \frac{A(1 + r)}{r} \left[1 - \frac{1}{(1 + r)^n}\right]$$

$\Rightarrow PV(\text{due}) = PV(\text{ordinary}) \times (1 + r)$

Perpetuity (ordinary, payments at end):

$$PV = \frac{A}{r}$$

Perpetuity-due (payments at start):

$$PV = \frac{A(1 + r)}{r}$$

Future value (ordinary annuity at $t = n$):

$$FV = \frac{A}{r} [(1 + r)^n - 1]$$

Rate mismatch: Always convert nominal rate to *effective rate per payment period* before applying annuity formula. E.g. 6% p.a. convertible semi-annually $\rightarrow$ effective monthly rate = $(1 + 0.03)^{1/6} - 1$.

Growing Annuity

Payments grow at rate g per period, n periods, first payment A at $t = 1$:

$$PV = \frac{A}{r - g} \left[1 - \left(\frac{1 + g}{1 + r}\right)^n\right] \quad (r \neq g)$$

If $r = g$: $PV = \frac{nA}{1+r}$. Growing perpetuity ($r > g$):

$$PV = \frac{A}{r - g}.$$

Internal Rate of Return (IRR)

IRR is r s.t. $PV(C) = 0$.

Uniqueness theorem: If $c_0 < 0$, $c_k \geq 0 \ \forall k \geq 1$, and $\sum c_k > 0$, then IRR is unique.

Newton–Raphson: $r_{n+1} = r_n - \frac{f(r_n)}{f'(r_n)}$

Loans & Refinancing

Loan L repaid by n equal payments A at rate r per period:

$$L = \frac{A}{r} \left[1 - \frac{1}{(1 + r)^n}\right] \Rightarrow A = \frac{Lr}{1 - (1 + r)^{-n}}$$

Loan balance after m payments (prospective):

$$L_m^{\text{bal}} = \frac{A}{r} \left[1 - \frac{1}{(1 + r)^{n-m}}\right]$$

Retrospective method:

$$L_m^{\text{bal}} = L(1 + r)^m - \frac{A}{r} [(1 + r)^m - 1]$$

Both methods give the same answer. Prospective is usually faster. Retrospective is useful when n is not given explicitly.

3. Bonds

Notation

F face value (= R unless stated)
 R redemption value
 c nominal coupon rate (annual)
 m coupon payments per year
 n total coupon payments
 λ nominal bond yield (annual)
 P bond price

Bond Pricing Formula

$$P = \frac{R}{(1 + \lambda/m)^n} + \sum_{i=1}^n \frac{cF/m}{(1 + \lambda/m)^i}$$

$$= F \left[\frac{1}{(1 + \lambda/m)^n} + \frac{c/m}{\lambda/m} \left(1 - \frac{1}{(1 + \lambda/m)^n}\right) \right] \quad (F = R)$$

Premium/discount form (when $F = R$):

$$P = F + F \cdot \frac{c - \lambda}{\lambda} \left[1 - \frac{1}{(1 + \lambda/m)^n}\right]$$

- $c > \lambda \Rightarrow P > F$ (at premium)
- $c = \lambda \Rightarrow P = F$ (at par)
- $c < \lambda \Rightarrow P < F$ (at discount)

Variable Coupon Bonds

Split into groups with constant coupon rate; price each group as a separate annuity + shared redemption PV.

Exam pattern (Q3 midterm): Bond with different coupon rates for each 5-year block and $R \neq F$. Price each block as an annuity discounted at yield λ , then add PV of redemption at maturity.

Determining Bond Yield (Newton–Raphson)

$f(\lambda) = P(\lambda) - P_{\text{market}}$, iterate $\lambda_{n+1} = \lambda_n - f(\lambda_n)/f'(\lambda_n)$.

$$P(\lambda) = \frac{R}{(1 + \lambda/m)^n} + \frac{cF/m}{\lambda/m} \left[1 - \frac{1}{(1 + \lambda/m)^n}\right]$$

$f'(\lambda)$ for annual coupon bond ($m = 1$, $F = R$):

$$f'(\lambda) = - \sum_{i=1}^n \frac{i \cdot cF}{(1 + \lambda)^{i+1}} - \frac{nF}{(1 + \lambda)^{n+1}} = - \frac{D \cdot P(\lambda)}{1 + \lambda}$$

where D = Macaulay duration. (In general: $f'(\lambda) = - \frac{D \cdot P}{m(1 + \lambda/m)}$.)

Start: $\lambda_0 = c$. Price–yield: **inverse & convex** ($P \downarrow$ as $\lambda \uparrow$).

Macaulay Duration

$$D = \frac{\sum_{i=1}^n t_i \cdot \text{PV}(c_i, t_i)}{\text{PV}(C)} = \sum_{i=1}^n w_i t_i, \quad w_i = \frac{\text{PV}(c_i)}{\text{PV}(C)}$$

Special cases:

- Zero-coupon bond: $D = T$ (maturity)
- Perpetuity ($m = 1$): $D = \frac{1 + \lambda}{\lambda}$
- Coupon bond at par ($P = F = R$, annual): $D = \frac{1 + \lambda}{\lambda} \left[1 - \frac{1}{(1 + \lambda)^n}\right]$

Properties: $t_1 \leq D \leq t_n$. Duration independent of F .

4. Term Structure

Spot Rates & Forward Rates

Spot rate s_t : effective annual rate from 0 to t . Accumulation: $(1 + s_t)^t$.

Forward rate $f_{j,k}$: rate from $t = j$ to $t = k$ (annual, same convention as spot).

No-arbitrage relation:

$$(1 + s_k)^k = (1 + s_j)^j (1 + f_{j,k})^{k-j}$$

Note: $f_{0,t} = s_t$.

Continuous compounding version:

$$e^{s_k k} = e^{s_j j} \cdot e^{f_{j,k}(k-j)} \Rightarrow f_{j,k} = \frac{s_k k - s_j j}{k - j}$$

Bootstrapping Spot Rates

Use observed coupon bond prices to extract $s_1, s_2, \dots$ sequentially:

For a coupon bond with annual payments:

$$P = \frac{c_1}{1 + s_1} + \frac{c_2}{(1 + s_2)^2} + \dots + \frac{c_n + F}{(1 + s_n)^n}$$

Solve for the unknown s_n given $s_1, \dots, s_{n-1}$ already found.

Exam pattern: Extract s_1, s_2 from zero-coupon bond prices, then use coupon bond price to find s_3 , then compute $f_{1,3}$.

Yield Curve Shapes

Normal (upward): economic expansion, low inflation.

Inverted (downward): pre-recession, high inflation.

Flat term structure: all s_t equal $\Rightarrow$ force of interest is constant.

5. Asset Returns & Portfolios

Returns

Total return: $R = P_1/P_0$ **Rate of return:** $r = (P_1 - P_0)/P_0$ $R = 1 + r$

Short sell: $R_{\text{short}} = P_1/P_0$ (same formula – negatives cancel).

Random Returns & Key Identities

Mean: $\mu_i = E(r_i)$ Variance: $\sigma_i^2 = \text{Var}(r_i)$

Covariance: $\sigma_{ij} = \text{Cov}(r_i, r_j)$ Correlation: $\rho_{ij} = \frac{\sigma_{ij}}{\sigma_i \sigma_j}$

Var/Cov identities:

- $\text{Var}(aX + b) = a^2 \text{Var}(X)$
- $\text{Cov}(aX, bY) = ab \text{Cov}(X, Y)$
- $\text{Var}(X + Y) = \text{Var}(X) + \text{Var}(Y) + 2\text{Cov}(X, Y)$
- $\text{Var}(X - Y) = \text{Var}(X) + \text{Var}(Y) - 2\text{Cov}(X, Y)$

Short-sell gain (sell at P_0 , buy back at P_1): profit = $P_0 - P_1$. Rate of return = $(P_0 - P_1)/P_0 = 1 - P_1/P_0 = -r_{\text{long}}$. **Loss is unlimited.**

Portfolio of 2 Assets

Weights $w_1 = \alpha$, $w_2 = 1 - \alpha$ ($\alpha \in \mathbb{R}$ if short-selling allowed; $\alpha \in [0, 1]$ otherwise).

$$\mu_p = \alpha \mu_1 + (1 - \alpha) \mu_2$$

$$\sigma_p^2 = \alpha^2 \sigma_1^2 + (1 - \alpha)^2 \sigma_2^2 + 2\alpha(1 - \alpha) \rho_{12} \sigma_1 \sigma_2$$

Global Minimum-Variance Portfolio (GMVP)

$$\alpha^* = \frac{\sigma_2^2 - \rho_{12} \sigma_1 \sigma_2}{\sigma_1^2 + \sigma_2^2 - 2\rho_{12} \sigma_1 \sigma_2}$$

$$(\sigma_p^2)^* = \frac{\sigma_1^2 \sigma_2^2 (1 - \rho_{12}^2)}{\sigma_1^2 + \sigma_2^2 - 2\rho_{12} \sigma_1 \sigma_2}$$

If $\rho = 1$: feasible set is a straight line. If $\rho = -1$: V-shape (zero variance achievable). If $-1 < \rho < 1$: curved bullet shape.

Efficient frontier: upper half of feasible set (including GMVP).

Check: if $\alpha^* \notin [0, 1]$ and short-selling not allowed, the GMVP is the asset with lower σ .

6. Forwards & Futures

Forward Contract

Obligation to buy/sell at forward price $F(t, T)$ at maturity T .

- Long payoff: $S_T - F(t, T)$
- Short payoff: $F(t, T) - S_T$
- Costs nothing to enter (no premium)

Forward Pricing (No-Arbitrage)

Non-dividend-paying asset:

$$F(0, T) = S_0 e^{rT} \text{ (cts)} \quad F(0, T) = S_0 (1 + r)^T \text{ (disc)}$$

General t : $F(t, T) = S_t e^{r(T-t)}$

With storage cost c (lump sum at $t = 0$):

$$F(0, T) = (S_0 + c) e^{rT}$$

With continuous dividend yield q :

$$F(0, T) = S_0 e^{(r-q)T}$$

Forward price does **not** depend on expected return μ of the underlying — only on S_0 , r , T (and carry costs). This is a no-arbitrage result, not an expectation.

Arbitrage Construction

If $F(0, T) > S_0 e^{rT}$: short forward, buy asset (borrow S_0).

Profit at T : $F - S_0 e^{rT} > 0$.

If $F(0, T) < S_0 e^{rT}$: long forward, short-sell asset (invest proceeds). Profit at T : $S_0 e^{rT} - F > 0$.

Futures vs. Forwards

	Forward	Futures
Settlement	At maturity	Daily MTM
Counterparty	Bilateral	Exchange

Daily P&L long futures: $\approx F_{t+1} - F_t$ (margin account).

Margin Account

Initial margin deposited. If balance falls below **maintenance margin**, margin call issued (top up to initial margin).

7. Hedging

Perfect Hedge (Forwards/Futures)

Enter opposite position to fix price and eliminate risk. Conditions for perfect futures hedge: (1) delivery date matches; (2) same underlying; (3) integer multiple of con-

tract size; (4) sufficient liquidity.

Hedging Direction ($\rho > 0$)

Obligation	Futures action	
Buy asset A	Short futures B	If $\rho < 0$: reverse direction.
Sell asset A	Long futures B	

Minimum-Variance Hedge

Hedge W units of asset A using futures on asset B (correlated). Short h futures contracts.

Cash flow at T : $y = -WS_T + (F_T - F_0)h$

$$\text{Var}(y) = W^2 \text{Var}(S_T) - 2W \text{Cov}(S_T, F_T)h + \text{Var}(F_T)h^2$$

Optimal hedge ratio:

$$h^* = W \cdot \frac{\text{Cov}(S_T, F_T)}{\text{Var}(F_T)} = W \cdot \frac{\rho_{S,F} \sigma_S}{\sigma_F}$$

Minimum variance:

$$\text{Var}^*(y) = W^2 \text{Var}(S_T)(1 - \rho_{S,F}^2)$$

Hedge effectiveness: $\rho_{S,F}^2$. Factor $\sqrt{1 - \rho^2}$ measures residual risk.

h^* is in *units*, not contracts. Number of contracts = $h^*/(\text{contract size})$. Round to integer for real problems.

8. Options

Key Definitions

Call: right to *buy* at strike K . **Put:** right to *sell* at strike K .

Long = holder (pays premium); Short = writer (receives premium).

European: exercise only at T . American: exercise any time $\leq T$. (Assume European unless stated.)

Payoffs & Profits

Position	Payoff at T	Profit
Long call	$\max(S_T - K, 0)$	payoff $-Ce^{rT}$
Short call	$-\max(S_T - K, 0)$	payoff $+Ce^{rT}$
Long put	$\max(K - S_T, 0)$	payoff $-Pe^{rT}$
Short put	$-\max(K - S_T, 0)$	payoff $+Pe^{rT}$

C, P = option premium (time-0 price). Time-value of premium at T : Ce^{rT} or Pe^{rT} .

Bounds

Upper bounds: $C \leq S_0 \quad P \leq Ke^{-rT}$

Lower bounds:

$$C \geq \max(0, S_0 - Ke^{-rT}) \quad P \geq \max(0, Ke^{-rT} - S_0)$$

Put–Call Parity (European, no dividends):

$$C + Ke^{-rT} = P + S_0$$

Proof: Portfolio A (long call + zero-coupon bond paying K) and Portfolio C (long put + stock) have identical payoffs $\Rightarrow$ same price by no-arbitrage.

Trading Strategies

Bull spread: Long call K_1 + Short call K_2 , $K_1 < K_2$. Profit if $S_T \uparrow$.

Bear spread: Short call K_1 + Long call K_2 or Long put K_2 + Short put K_1 . Profit if $S_T \downarrow$.

Butterfly ($K_1 < K_2 < K_3$, $K_1 + K_3 = 2K_2$): Long C_{K_1} , Short $2C_{K_2}$, Long C_{K_3} :

S_T range	Payoff	
$S_T \leq K_1$	0	Profit if $S_T \approx K_2$ (low volatility bet).
$K_1 < S_T \leq K_2$	$S_T - K_1$	
$K_2 < S_T \leq K_3$	$K_3 - S_T$	
$S_T > K_3$	0	

Straddle: Long call + Long put (same K , T). Profit if $|S_T - K|$ large.

Covered call: Long stock + Short call. **Protective put:** Long stock + Long put.

Binomial Option Pricing

Single period: $S \rightarrow uS$ or dS , risk-free rate r , $R = 1 + r$. No-arb requires $u > R > d$.

Risk-neutral probability: $q = \frac{R - d}{u - d}$, $1 - q = \frac{u - R}{u - d}$

$$C = \frac{1}{R} [qC_u + (1 - q)C_d]$$

$C_u = \max(uS - K, 0)$, $C_d = \max(dS - K, 0)$ for call; $\max(K - \cdot, 0)$ for put.

Multi-period: backward induction. Each node same formula. **CRR:** $u = e^{\sigma\sqrt{\Delta t}}$, $d = 1/u$.

Replication Portfolio (Binomial)

Construct portfolio: x shares + b in risk-free cash. Payoffs:

$$\text{up: } ux + Rb = C_u \quad \text{down: } dx + Rb = C_d$$

Solve:

$$x = \frac{C_u - C_d}{u - d} \quad b = \frac{uC_d - dC_u}{R(u - d)}$$

$$C = x + b = \frac{qC_u + (1 - q)C_d}{R} \quad \checkmark$$

Arbitrage: if $C > x + b$: short call, long portfolio. If $C < x + b$: long call, short portfolio.

Put–Call Parity (General Form)

Let d = discount factor to maturity. Slides notation:

$$C + dK = P + S_0$$

Discrete: $d = (1 + r)^{-T}$. Continuous: $d = e^{-rT}$. Rearrange to find arbitrage: if $C + dK \neq P + S_0$, one side is cheap.

Black–Scholes (Intro Only)

Stock GBM: $dS = \mu S dt + \sigma S dz$. CRR $\rightarrow$ B–S as $\Delta t \rightarrow 0$: $u = e^{\sigma\sqrt{\Delta t}}$, $d = 1/u$.

Exam Patterns (Midterm)

Q1 type — PV algebra: Set up PV equation, let $v = (1 + r)^{-1}$ or $x = (1 + r)^{-2k}$, solve quadratic/polynomial. Answer in terms of k .

Q2 type — Loan refinancing: (i) Use annuity formula to find L/X (match L = PV of annuity). (ii) Find balance after m payments. Convert interest rate to *effective per period*. New annuity equation for Y . **Key trap:** Lump sum paid immediately, then first instalment one month later (ordinary annuity shifted by 1 month in timeline).

Q3 type — Variable-coupon bond + $R \neq F$: Split into 4 annuity blocks (10 semi-annual payments each at different rates). Write PV equation with P on both sides (since $R = P + 20$), solve linear equation.

Q4 type — Newton–Raphson for bond yield: Set $f(\lambda)$ = PV of cash flows at $\lambda - P_{\text{market}}$. Compute $f(0)$ as a starting check, choose λ_0 near expected answer, iterate 1–2 times for 4 d.p.

Common Mistakes

- Using nominal rate directly in annuity formula without converting
- Forgetting that annuity-due = ordinary annuity $\times (1 + r)$
- Coupon = cF/m (not cF) for semi-annual bonds
- Duration: weight by PV, not raw cash flow
- Forward price: uses *risk-free* rate r , not expected return μ
- Put–call parity: discount factor is e^{-rT} (continuous) or $(1 + r)^{-T}$ (discrete)